

Participant Violations

Policy: The local agency must disqualify, or take other actions in response to participant violations.

Note: When a participant is disqualified, they must reapply for the program. They may not have benefits suspended temporarily and be reinstated to the program if it is within the same certification period. They must reapply.

Regulations: 7 CFR 246.2, 7 CFR 246.7 (j), 7 CFR 246.7 (l), 7 CFR 246.10 (b) (2) (ii) (D), 7 CFR 246.12 (u) (1), 7 CFR 246.12 (u) (5), 7 CFR 246.23 (c)(1)

Procedures/Additional Guidance

Participant violation means any deliberate action of a participant, parent, or caretaker of an infant or child participant, or proxy that violates Federal or State statutes, regulations, policies, or procedures governing the Program. Participant violations include, but are not limited to, deliberately making false or misleading statements or deliberately misrepresenting, concealing, or withholding facts, to obtain benefits; selling or offering to sell WIC benefits, including cash-value vouchers, food instruments, EBT cards, **breast pumps**, or supplemental foods in person, in print, or online; exchanging or attempting to exchange WIC benefits, including cash-value vouchers, food instruments, EBT cards, **breast pumps**, or supplemental foods for cash, credit, services, non-food items, or unauthorized food items, including supplemental foods in excess of those listed on the participant's food instrument; threatening to harm or physically harming clinic, farmer, or vendor staff; and dual participation.

Prevention

- Explanation of WIC: Throughout the certification visit, educate the endorser as to how the Program benefits the health and nutrition of WIC participants and explain how tri-monthly benefit issuance procedures work. In an effort to prevent misunderstanding, ask if the endorser has any questions regarding the type of supplemental foods provided or the procedure to be followed when purchasing foods.
- Explanation of Misuse: During the certification visit, WIC staff should carefully explain what constitutes misuse of the WIC Program and the consequences.
- Dual Participation (participating in two WIC Programs simultaneously): Each new enrollee needs to thoroughly understand the illegality of participating in two WIC Programs. At the initial visit clients should be told that they can lose benefits for this action and may be required to pay back the value of benefits obtained while participating in two programs simultaneously.
- Participant *Rights and Responsibilities*: All endorsers must read (or be read) the Colorado WIC Program *Rights and Responsibilities* at each certification and recertification visit. At every certification visit, the endorser/participant must sign electronically acknowledging their understanding of the WIC *Rights and Responsibilities*.

Identifying and Managing Endorser/Participant Misuse

When there is a report of misuse of the Program:

- Investigate the report.
- Determine if a violation occurred.
- If no violation is found, no action should be taken.
- If a violation is identified, document the violation in Compass (see Documenting a Participant Violation or Sanction section in this policy) and counsel the WIC participants on the appropriate use of their WIC benefits.
- Contact the state office for any clarification.

First-Time Suspected Misuse

A first time occurrence is defined as one event or multiple events until the person has been counseled on the specific misuse. Since there are many cases of suspected misuse that cannot be technically proven, counseling should be less accusatory and more informational in nature. Refer to the Summary of Endorser/Participant Misuses and Consequences by Category table below.

To start the session, simply state what was found: i.e., "This Craigslist posting is for the same formula that was issued to you" not "You are selling WIC formula on Craigslist." When possible, state the problem in terms of the issue—not in terms of the endorser.

Next, remind the endorser that this act constitutes misuse. Counsel to reeducate on the misuse, and on all other misuses within the same category of violations/misuses. Warn of the consequences of a second misuse. Show him/her the previously signed *Rights and Responsibilities* form.

If the participant/endorser has deliberately misrepresented information to be eligible for WIC Program benefits and is subsequently found ineligible, the State Office must issue a claim for the WIC benefits received. Clinic staff must contact the State WIC Office immediately

Subsequent Occurrences of Endorser/Participant Misuse

A subsequent occurrence of misuse by one individual constitutes a serious situation. A second or third occurrence is defined as one event or multiple events from the time a person was last counseled until the person is subsequently counseled again. While the endorser may still deny the act, the circumstances of the same thing happening twice are too suspicious not to warrant some action. Before enforcing consequences for a second or third occurrence, however, clinic staff members need to have sufficient documentation that a misuse occurred and be certain that the misuse was intentional.

When a second or third occurrence is identified, the local agency must proceed with corrective action as outlined in the "Summary of Endorser/Participant Misuses and Consequences by Category" listing in this section.

If insufficient evidence is available to assign consequences for a second or third misuse, at a minimum another violation should be entered on the Participant Violations panel and counted as another warning. The participant should again be educated and warned of possible consequences of a repeat misuse.

Management of Multiple Misuses in Different Categories

Occasionally a WIC participant may have multiple violations in different misuse categories (e.g., trying to return foods for store credit and verbal abuse). In such a case, document each violation on the Participant Violations panel. The infractions may occur at the same time or at different times. In order to apply the second occurrence consequences, the participant must have two misuse actions in the same category. In other words, if a participant had a misuse in Category I and a misuse in Category III, the participant should be warned, but not disqualified. However, if the consequence for a first occurrence is a mandatory sanction, the appropriate sanction must be applied.

Disqualification from the WIC Program

Disqualification is the withholding of Program benefits for a defined period of time. A participant's disqualification period starts the day after the benefits' Last Date to Use that allow for the 15-day notice period.

All participants (except as noted below) who are being disqualified and terminated from the Program must be told of their termination 15 days prior to the end of their benefits. At the time the participant/endorser is notified of termination, clinic staff must ensure the participant's last set of benefits have an expiration date of 15 days into the future. If benefits expire in less than 15 days staff must issue the next month of benefits to ensure a 15-day notification period. If the benefits expire in more than 15 days (redeemed or not), no additional benefits should be issued. If the participant has two or three months of benefits, they should be allowed to keep only the benefits with dates for the 15-day notice period. All other future benefits must be removed. **Loaned breast pumps must be returned within 15 days after termination.**

Claims & State Office Responsibilities

With certain types of participant violations the State WIC Office is required to file a financial claim against participants when there is substantiated proof the participant or endorser has improperly received or disposed of benefits (see "Summary of Endorser/Participant Misuses and Consequences by Category" listing in this section).

When one of these violations has occurred the local WIC agency must contact the State WIC Office who will then determine the value of improperly obtained benefits and issue a claim letter to the participant.

When notified by the local agency, the State Office will:

- Investigate the situation to determine if a claim letter should be sent.
- Collect and maintain copies of documentation from the participant's file pertaining to the violation in question.
- Determine the value of the benefits in question.
- Determine if the case should be referred to legal authorities for criminal action.
- Notify the local clinic of a participant's status. In some cases, a participant may be terminated from the Program because of the value of the claim or because the claim is a second claim issued against the participant.
- Send a claim letter to the participant including:
 - Reason for the claim letter.
 - Value of benefits to be repaid.
 - Method of repayment.
 - Contact to discuss repayment.
 - Consequences of non-payment.
 - Participant's rights for a fair hearing and method for obtaining a fair hearing.

Mandatory Disqualification: Whenever the State Office assesses a claim of **\$1000** or more, assesses a claim for dual participation, or assesses a second or subsequent claim of any amount, the participant will be disqualified from the Program for one year. The State Office may decide not to impose the one-year disqualification if full restitution of the claim letter is made.

Exceptions for Disqualification: The State Office may permit a participant to remain on the Program or to reapply for benefits if full payment is made, if a repayment schedule is agreed upon within 30 days of receipt of a claim letter, or, in the case of a participant who is an infant, child, or under age 18 and not the endorser, the State or local agency may approve the designation of a proxy who can assure that no further violations will occur and that benefits will be used properly.

Procedures for Fair Hearing: At the time of disqualification or when a claim letter is sent, the participant must be advised of the procedures to follow to obtain a fair hearing. **A client may request a fair hearing up to 60 days from the date the agency mails or gives the applicant or participant the notice of adverse action.** However, in order to continue to receive benefits while waiting for the outcome of a fair hearing, an appeal must be filed within 15 days of notice of disqualification or receipt of a claim letter. Any time a Fair Hearing is requested, either verbally or in writing, local staff should call the State Office immediately and follow the Fair Hearing procedures as described in the Program Manual, section 11, *Civil Rights, Fair Hearing Policy and Procedures for Applicant/Participant Appeals*.

Reinstatement of Program Benefits after Disqualification Period

Once the disqualification period has ended, the local agency's responsibilities are:

- If the endorser returns:
 - ✓ Reinstates the participant if he/she contacts the agency no later than fifteen (15) days after the end of the disqualification period and he/she is within his/her original certification period.
 - ✓ If the certification period has expired, treat the participant as you would any past participant applying to the Program.
- If the endorser does not return:
 - ✓ Keep the participant in terminated status if the endorser does not contact the agency within the fifteen (15) day period to resume benefits.
 - ✓ If the endorser contacts the clinic after fifteen days, the participant will have to reapply for WIC services as a new applicant.

Documenting a Participant Violation or Sanction

1. Enter the violation and alert in Compass:



- Go to Participant Violations Panel:
 - ✓ Check the *Do not allow food benefits* check box so that WIC staff are required to counsel the participant before the issuance of future benefits. When checked, no new food benefits can be provided for this participant. A family alert message is set indicating that an action is required on the violations panel before food benefits can be issued.
 - ✓ Add a violation row:
 - ✓ Violation Date- Date the violation occurred.
 - ✓ Violation Type- Enter the type of misuse.
 - ✓ Details- Include any known details and whether it is a 1st or 2nd occurrence. Put more details in the comments area if more room is needed.
 - Go to the Comments/ Alerts Panel:
 - ✓ Create a new record on the *Comment/Alert* panel describing the situation. Enter an expiration date of 1 year in the future. For example: "Please counsel on not attempting to sell benefits. See participant violations panel before issuing more benefits." This alert will post on the family alert tab. Check the "Display As Alert" check box.
2. Counsel the Participant.
 3. Document the Violation and Sanction.
 - Go to Participant Violations Panel.
 - ✓ Record any comments from the participant in the "Comments" section.
 - ✓ If a sanction is appropriate, add a row for a sanction.
 - ✓ Start Date- Date the participant was counseled.
 - ✓ End Date- One year after the counseling (If disqualifying the participant, the end date should be the date the sanction will be completed and the disqualification is over).
 - ✓ Sanction Type- Enter the sanction type as either: "Warning/Education" or "Disqualify".
 4. If payment is due from the participant, check the *Claim Req* checkbox. Additional supporting detail can be recorded in the comments box, or a document can be scanned into the system.
 5. Obtain the participant/endorser's electronic signature after the counseling session. If an electronic signature is not available due to equipment malfunction, staff must print a copy of the notice, obtain the endorser's signature, and scan the form into the participant's Compass file.
 6. Print out the *Notice of Program Violation* (or *Disqualification* if appropriate) using today's date as the start and end date. Capturing the participants' and WIC staff signatures on the Notice is optional.
 7. Uncheck the "Do Not Allow Food Benefits" if food benefits are to be issued.
 8. Go to the Comments/ Alerts Panel. Remove the alerts by removing the check mark in the "Display As Alert" check box.



Summary of Endorser/Participant Misuses and Consequences by Category

MISUSE - CATEGORY I	CONSEQUENCES
A. Selling or trying to sell WIC benefits (including breast pumps), WIC foods, or eWIC cards to, or exchange with, other individuals or entities. This includes: • Trying to return food for cash refunds or store credit. • Selling or trying to sell verbally, in print, or online through websites such as craigslist, Facebook, Twitter, eBay, etc. B. Obtaining or attempting to obtain cash or credit in lieu of or in addition to authorized foods.	<u>FIRST OCCURRENCE:</u> Unsubstantiated claim: Counsel to warn, reeducate, and document in the <i>Participant Violations</i> panel. Obtain the endorser's electronic signature and provide the endorser with a printed copy of the form. Counsel and reeducate on the misuse, and on all other misuses within the same category of violations/misuses. Warn of the consequences of a second misuse. Show him/her the previously signed <i>Rights and Responsibilities</i> form. <u>SUBSTANTIATED FIRST OCCURRENCE OR SECOND OR SUBSEQUENT OCCURRENCE WITHIN 2 YEARS FROM DATE OF FIRST WARNING:</u> Counsel, reeducate, and document the second occurrence (or substantiated first occurrence) in the <i>Participant Violations</i> panel. Contact the State Office to issue a claim letter for the value of any misused benefits. Send copies of all documentation to the State WIC Office. Disqualify the participant/endorser from the WIC Program for three months if the claim is under \$1000 and is a substantiated first occurrence. Disqualify the participant/endorser for one year (Mandatory Disqualification[#]) if the claim is for \$1000 or more, or if it is a second or subsequent claim for any amount. Give 15 days of benefits* and terminate the participant/endorser with a reason of "program abuse." Document actions on the <i>Participant Violations</i> and <i>Certification</i> panels. Obtain the endorser's electronic signature and provide the endorser with a printed copy of the form.



MISUSE - CATEGORY II	CONSEQUENCES
C. Attempting to redeem WIC benefits at a retailer not authorized by Colorado WIC. D. Obtaining or attempting to obtain unauthorized or excess foods in lieu of authorized foods within the family food benefits.	FIRST OCCURRENCE: Counsel to warn, reeducate, and document discussion in the <i>Participant Violations</i> panel. Obtain the endorser's electronic signature and provide the endorser with a printed copy of the form. Review benefit-cashing procedures with client/endorser. SECOND OCCURRENCE WITHIN 12 MONTHS OF FIRST WARNING: Counsel, reeducate, and document second occurrence in the <i>Participant Violations</i> panel. Disqualify the participant/endorser from the WIC Program for one month. Give 15 days of benefits* and terminate the participant/endorser with a reason of "program abuse." Document actions on the <i>Participant Violations</i> and <i>Certification</i> panels. Obtain the endorser's electronic signature and provide the endorser with a printed copy of the form. <i>NOTE: After the disqualification period, at clinic's discretion, participant/endorser may be required to return to clinic monthly to receive benefits.</i> THIRD OCCURRENCE WITHIN 12 MONTHS OF FIRST WRITTEN WARNING: Counsel, reeducate, and document third occurrence using the <i>Participant Violations</i> panel. Disqualify the participant/endorser from the WIC Program for three months. Give 15 days of benefits* and terminate the participant/endorser with a reason of "program abuse." Document actions on the <i>Participant Violations</i> and <i>Certification</i> panels. Obtain the endorser's electronic signature and provide the endorser with a printed copy of the form. <i>NOTE: After the disqualification period, at clinic's discretion, participant/endorser may be required to return to clinic monthly to receive benefits.</i>



MISUSE - CATEGORY III	CONSEQUENCES
E. Intentionally misrepresenting circumstances (e.g., financial status, residency) to obtain benefits.	<u>FIRST OCCURRENCE:</u> If the endorser/participant is eligible, counsel and document in the <i>Participant Violations</i> panel. Obtain the endorser's electronic signature and provide the endorser with a printed copy of the form. If the endorser/participant is ineligible, give 15 days of benefits and terminate with a reason of "program abuse." Document actions on the <i>Participant Violations</i> and <i>Certification</i> panels. Obtain the endorser's electronic signature and provide a printed copy of the form. Contact the State Office to issue a claim letter for the value of the misused benefits. Send copies of the documentation to the State Office. <u>SECOND OCCURRENCE:</u> If the endorser/ participant is eligible, counsel and document on the <i>Participant Violations</i> panel. Obtain the endorser's electronic signature and provide the endorser with a printed copy of the form. The participant may continue to receive WIC benefits. If the endorser/ participant is ineligible, give 15 days of benefits and terminate with a reason of "program abuse." Document actions on the <i>Participant Violations</i> and <i>Certification</i> panels. Obtain the endorser's electronic signature and provide the endorser with a printed copy of the form. Contact the State Office to issue a claim letter for the value of the misused benefits. Send copies of the documentation to the State Office. In the event the participant becomes eligible during the disqualification period, they may not re-apply for WIC Program benefits for one year from the date of their disqualification notice unless full restitution is made or a payment schedule is agreed upon within 30 days of receipt of a claim letter.



MISUSE - CATEGORY IV	CONSEQUENCES
F. Dual participation – Enrolled in two or more WIC programs and received benefits from both during the same month for the same participant.	<u>FIRST OCCURRENCE</u>: IF UNINTENTIONAL: Counsel to warn, educate, and document discussion in the <i>Participant Violations</i> panel. Obtain the endorser's electronic signature and provide endorser with a printed copy of the form. Remove any benefits the participant still has for the program from which they are being terminated. <u>INTENTIONAL FIRST OCCURRENCE OR SECOND OCCURRENCE</u>: Counsel, reeducate and document second occurrence in the <i>Participant Violations</i> panel. Obtain the endorser's electronic signature and provide endorser with a printed copy of the form. Contact the State Office to issue a claim letter for the value of the misused benefits. Send copies of all documentation to the State WIC Office. Issue 15 days of benefits* and disqualify the participant/endorser from both local agency programs for one year (Mandatory Disqualification[#]) with a reason of "dual participation." Document actions in the <i>Participant Violations</i> and <i>Certification panels</i>. Obtain the endorser's electronic signature and provide endorser with a printed copy of the form.



MISUSE - Category V	CONSEQUENCES
G. Verbal abuse - Using abusive language, making threats, false accusations, unrealistic demands, etc., to store, clinic staff, or other participants.	FIRST OCCURRENCE: Ask the endorser to leave the clinic or store and return when calm or when a new appointment can be made. Call police if threat of violence. Issue benefits. Counsel to warn, reeducate, and document in the <i>Participant Violations panel</i>. Obtain the endorser's electronic signature and provide endorser with a printed copy of the form. SECOND OCCURRENCE WITHIN 12 MONTHS OF WRITTEN WARNING: Counsel, reeducate and document the second occurrence on the <i>Participant Violations panel</i>. Disqualify endorser/participant from the Program for two months. Obtain the endorser's electronic signature and provide endorser with a printed copy of the form. Give 15 days of benefits* and terminate the participant/endorser with reason of "program abuse." Document actions on the <i>Participant Violations and Certification panel</i>. Obtain the endorser's electronic signature and provide endorser with a printed copy of the form. The WIC director must assess the situation and decide if the conduct of the clinic or vendor staff may have provoked the incident. The endorser has the right to complain about improper or discourteous treatment and should not be penalized for making a legitimate complaint; however, this does not relieve the participant from treating clinic and retail staff with respect. If the violation is the result of incidents occurring at the store, the WIC director must ascertain that sufficient documentation of misuse has been provided before imposing sanctions.



MISUSE - Category VI	CONSEQUENCES
H. Physical abuse - Physically harm, or attempt to physically harm, store, clinic personnel, or other participants. Theft and/or purposeful destruction of agency or personal property by an adult (<i>does not include theft or not returning a loaned electric breast pump**</i>).	FIRST OCCURRENCE: Report incidents of physical abuse, theft, and destruction of property (agency or personal) to the police. If the person causing the abuse or destruction is the participant or endorser, the participant is disqualified from the Program for one year. Give 15 days of benefits* and terminate with a reason of “program abuse.” Document in the <i>Participant Violations</i> and <i>Certification</i> panels. Obtain the endorser’s electronic signature and provide endorser with a printed copy of the forms. If the person causing the abuse or destruction is not the participant or endorser, the individual is reported to the police and asked to not return to the clinic. SECOND OCCURRENCE: The incident is reported to the police. WIC staff complete the <i>Participant Violations</i> panel documenting the second occurrence. Give 15 days of benefits* and disqualify the endorser for one year. Obtain the endorser’s electronic signature and provide endorser with a printed copy of the disqualification form. Terminate the participant with reason of “program abuse.” Document actions in the <i>Certification</i> panel. Obtain the endorser’s electronic signature and provide endorser with a printed copy of the form.

* NOTE: In these situations, WIC is required to provide 15 days of benefits before terminating a participant. If the participant already has benefits for 15 days beyond the date of notification, no additional benefits should be issued. If more than 15 days of benefits have already been issued to the participant, remove them from the participant’s eWIC account. The disqualification or termination period starts when the participant’s 15-day notice benefits have expired.

**Procedures for recovering a lost/stolen WIC-owned electric breast pumps are described in Section 2. *Nutrition Services*, under *Breast Pump Ordering and Maintenance*.

Mandatory Disqualification: Whenever the State Office assesses a claim of **\$1000** or more, assesses a claim for dual participation, or assesses a second or subsequent claim of any amount, the participant will be disqualified from the Program for one year. The State Office may decide not to impose the one-year disqualification if full restitution of the claim letter is made.

Exceptions for mandatory one-year disqualification: The State Office may permit a participant to remain on the Program or to reapply for benefits if full payment is made, if a repayment schedule is agreed upon within 30 days of receipt of a claim letter, or, in the case of a participant who is an infant, child, or under age 18 and not the endorser, the State or local agency may approve the designation of a proxy who can assure that no further violations will occur and that benefits will be used properly. This exemption only applies to the mandatory one-year disqualifications.